to Bangladesh, and 55 percent of arms transferred to Myanmar. China's close cooperation with Bangladesh and Myanmar certainly limits New Delhi's leverage in these two countries, and Beijing's policy resembles that of proxy balancing as well as public-goods substitution. In order to qualify as a balancing strategy, China's policy towards Bangladesh and Myanmar must be aimed at changing its relative power vis-à-vis India in the region. China's support to Pakistan is clearly a security threat for India, while China's support to Bangladesh and Myanmar represents a lesser threat. Even so, the combined effect contributes to reduce India's room for manoeuvre. It is interesting, however, to note that China has lost its earlier position as an important supplier of arms to Sri Lanka. In fact, over the two years of 2017 and 2018, India and the United States provided as much as 89 percent of Sri Lanka's arms imports.[118]

TABLE 2.3 China's arms transfer to South Asian nations (% of total import)

	1950–1970	*1971–1989*	*1990–2009*	*2010–2018*
Bangladesh	–	65%	35%	72%
Myanmar	–	–	59%	55%
Nepal	–	–	3%	24%
Sri Lanka	–	33%	32%	2%

Source: SIPRI (2019) Military Expenditure Database, Stockholm International Peace Research Institute, accessed 25.11.2019 at www.sipri.org/databases/milex

With India's power growing vis-à-vis its neighbours, China would give India the upper hand in South Asia if it were to cut off its close links to Pakistan in particular but also to other countries in the region. China has traditionally been concerned with countering strategic dominance in its backyard in Central and South Asia from the three great powers India, Russia, and the United States. The partnership with Pakistan has been part of this counter-strategy. However, with Russian influence waning and the US drawdown in Afghanistan, China has in recent years been